COURSER PARK ADVISORS

Quarterly Update Sep 2026

Letter to Investors

Our two schemes at a glance:

Scheme	Category	Inception	Benchmark	Return since inception	Benchmark return since inception
GARP	Large & Mid Cap	1 Apr 2024	Nifty 50 TRI	8.4%	1.8%
FOCUS	Small Cap	22 Jul 2026	BSE 500 TRI	8.7%	−5.1%

Data as on 30 Sep 2026. Returns are TWRR, net of fees and expenses. GARP returns are annualised; FOCUS returns are absolute, as periods under one year are not annualised. Each scheme is shown against its own benchmark.

This newsletter covers our broad market view, picking the right sector – lessons from international markets, and detailed sections on both the schemes

"Dheere dheere re mana, dheere sab kuch hoye; maali seenche sau ghada, ritu aaye phal hoye." Sant Kabir

1. Stay the Course



Source: Calvin and Hobbes

A year ago, 4Q25 was unusually volatile, while April-June quarter this year was unusually benign, with little change in the underlying businesses. With the barrage of macro events at play such as wars, yield break-outs, unnatural weather events, cycles seem to have become much shorter than what they used to be. Nevertheless, trying to time these swings is a fool's errand and a poor use of effort - the best course of action is to stay put.

We recognise that over the two and a half years since inception, the GARP portfolio has compounded at approximately 8.4% annually, reflecting what the market has paid us so far. We believe the earnings growth embedded in the portfolio is not yet fully reflected in market prices.

On the positive side, credit growth is at a multi-year high, earnings growth has been very strong, and valuations are decent. We are aware this narrative sounds like a tape recorder on loop, but it remains a fact.

On the negative side, there is a relentless supply of IPO paper hitting the market, and unless that takes a pause we may not see big moves in prices. We also clearly need FPIs to come back, which is bit of a circular argument: returns bring flows, and flows bring returns.

None of this changes what we do. We will keep our attention on sector, business quality and earnings, and let the cycle take care of itself.

2. Why getting the sector right matters

In our previous newsletter, we covered the importance of picking the right sector using a 15-year study in the Indian markets by finding out the leading sectors during periods of market distress. We were curious to know if the results held out in global markets too. So, we conducted the same study in the US markets to check the validity of sector strength for picking winners for the decade between June 2016 and September 2026.

Our starting question was when the wider market is under pressure, can the stocks showing resilience point us towards the next industry leaders? Our coverage universe included the top 1,000 US stocks by market capitalization – We then classify these strong stocks into industry clusters and examine their relative performance over S&P 500. Finally, we form a portfolio of 30 companies that are from these industry segments and satisfy the quality filter.

How we looked for leadership (same as the Indian market case study):

1. Find market stress. Identify periods when participation across the market is weak. We examined the 10-year period from June 2016 to September 2026.

2. Look for resilience. Track stocks crossing above their 21-day exponential moving average and group them by sector.

3. Follow the sector baskets. Measure returns over one, two and three year timeframes, relative to the S&P 500. The stock universe is the top 1,000 US stocks by market capitalization.

4. Construct an actual 30 stock portfolio. Combine successive purchases into a fixed-capital portfolio, with a 30-company ceiling – a sweet spot for portfolio managers. Qualifying stocks need to pass quality filters.

What happened by following the baskets?

We first treated every signal separately, i.e. buy its basket and ask how it performed over the next one, two or three years. Each signal typically has top 5 sectors in a correction and about 35 stocks on an average. Only baskets with a completed holding period were included. Results are as follows:

Chart 1: Simple returns of baskets over multiple holding periods

Holding period	Completed baskets	Avg.Basket return	S&P 500 return	Beat S&P 500
1 year	104	24.3%	15.8%	64.4%
2 years	92	54.2%	32.2%	72.8%
3 years	80	82.8%	50.6%	76.2%

Returns above are average cumulative gains over the entire holding period, not annualized portfolio returns. "Beat S&P 500" is the share of baskets that outperformed their matching benchmark.

Both the probability and magnitude of outperformance increased as the holding period increased. Key thing to note is that a handful of large winners raised the average. Returns were generally stronger when a sector appeared repeatedly among the leaders in successive market corrections, mirroring our earlier finding in the Indian market. A more practical way to test the same hypothesis is to implement a 30 stock portfolio and see its performance over the study period – which is what we did as the next part of the study. This 30-stock portfolio is a hypothetical backtest, not an actual or recommended portfolio, and its results do not represent returns earned by any client. The results should also be read with survivorship bias in mind: the universe is drawn from companies that are among the largest today, which tends to favour those that survived and grew over the period.

Does sector picking help even when every portfolio is limited to 30 stocks?

- **Universe: top 1,000 US stocks**.
- **What stocks qualify for our filtered portfolio?**
  - The stock must have strong price momentum:
    - Price > 21-day EMA
    - 21-day EMA > 50-day MA
    - 50-day MA > 200-day MA
  - It must also meet the quality test (**latest annual number** and the **3-year median)**:
    - **Operating companies:** ROCE ≥ 12%
    - **Banks/insurers:** ROE ≥ 15%

For stock-and-sector portfolio: we start building the portfolio during a market correction i.e. when only **20% or fewer stocks are above their 200-day moving average**. Within the strongest sectors, once a stock qualifies i.e. it needs to be trending too, when it is bought at the **next trading day's closing price**. If less than 30 stocks qualify during a correction, we buy the remaining set of stocks during the recovery phase. During the next correction, retain the existing stocks and replace them only when a new qualifying stock is available.

For selected sectors, without stock filters: we keep our sector allocations and the number of stocks in each sector. Choose random stocks within these qualifying sectors, without quality or trend screens. Allocate money equally among stocks within each sector.

All existing 11 sectors, without momentum signals or stock filters. We give each sector an equal share of invested capital and sample stocks randomly. At 30 holdings, each sector has two or three stocks at most.

Chart 2: What did the test produce?

Portfolio	Annualized return	Maximum drawdown	Sharpe ratio	Annual churn
Our stock-and-sector portfolio	20.4%	26.6%	0.97	41%
Selected sectors — unfiltered	21.2%	33.9%	0.97	256%
All 11 sectors — unfiltered	19.2%	37.1%	0.90	193%
S&P 500 benchmark	17.5%	33.7%	0.90	—

20 December 2018–28 September 2026; $100,000 initial cash. Costs: 0.1% per buy/sell side; cash earns no interest. Basket figures are separate medians across 200 predeclared samples each. Sharpe uses complete monthly returns and observed risk-free returns. First correction in the window starts from 20 December 2018

Conclusions from the 10-year study on sector strength:

- **Sector selection added value:** The selected-sector (unfiltered stocks) basket returned 21.2% annually versus 19.2% for the equal-sector (unfiltered stocks) basket, suggesting that concentrating in stronger sectors was more effective than spreading capital evenly across all 11 sectors.
- **Lower risk, similar return:** The quality/trend overlay preserved almost all of the return while sharply reducing drawdown and churn.

In conclusion, strong sectors lead to better returns even in the US markets. Portfolio managers can benefit from this by focusing on strong sectors and reduce the churn and drawdown significantly by overlaying quality filters at a company level.

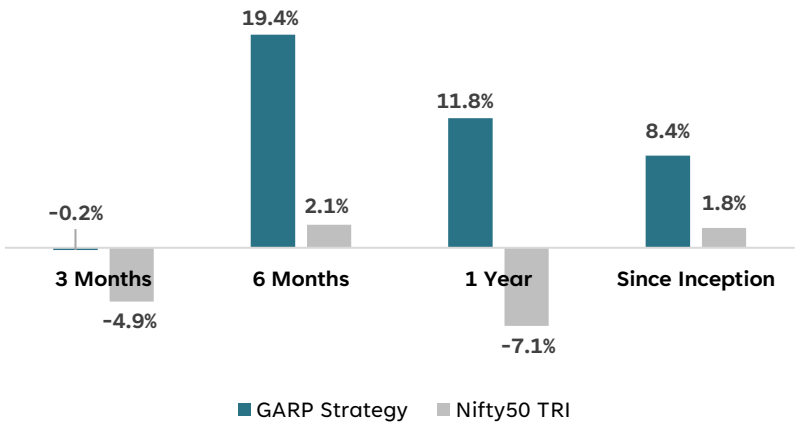
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GARP Scheme (Large & Mid Cap)

Investment Objective

The primary objective for the GARP scheme is capital protection as and long term compounding over longer periods by investing primarily in large and mid-cap growth companies with durable business models.

Strategy Returns- GARP Scheme



The above returns are calculated by using the Time-Weighted Rate of Return (TWRR) method across all portfolios (Absolute returns for less than 1 year). The above returns are as on 30-09-2026, post fees and expenses; Note: Returns of individual clients will differ based on the timing of their investments.

Top Performers

Scrip Name	Purchase Date	Purchase Price (Rs.)	CMP (Rs.) as of 30-09-2026	Return (%)
Acutaas Chemicals	21-Nov-2024	1,033	3,279	217%
Navin Fluorine	24-Apr-2024	3,307	8,245	149%
ASK Automotive	01-Apr-2024	283	640	126%
Emcure Pharma	10-Oct-2024	1,020	1,943	90%
Nuvama Wealth	01-Apr-2024	926	1,653	79%

Holding Companies*

Asset Concentration	Holding
Cash	2.0%
Top 5 Holdings	27.3%
Top 10 Holdings	51.0%
Highest Exposure	ACUTAAS (6.0%)

Sector Allocation*

Sectors	Allocation (%)
Healthcare/Pharma	36%
BFSI	22%
Technology/IT Services	11%
Auto/Auto Ancillaries	9%
Others	22%

Market Capitalization*

Market Capitalization	Holding (%)
Large Cap	45%
Mid Cap	27%
Small Cap	28%
Avg. Market Cap (Rs. Bn)	1,643

Qualitative Analysis*

Parameters	TTM
PAT Growth	40.4%
PE	42.0x
ROE	19.8%

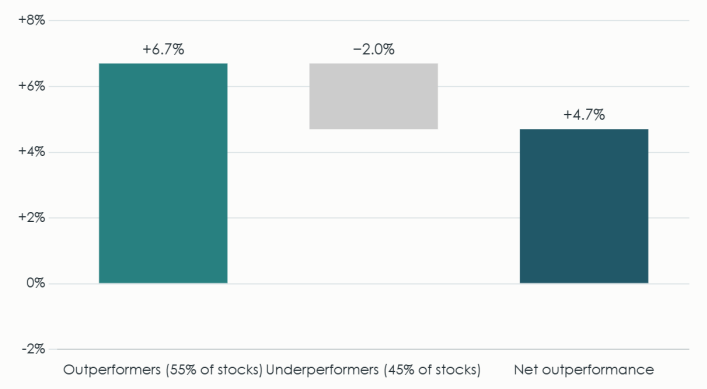
**Represents Model Portfolio*

GARP Strategy Inception Date: 1st April, 2024. Data as on 30th Sep 2026

Data Source: CPA Internal Research. Returns of individual clients may differ depending on time of entry in the Strategy. Past performance may or may not be sustained in future and should not be used as a basis for comparison with other investments.

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Chart 3: GARP Scheme — Attribution Analysis for the Quarter



In 2Q27 while the index fell by 4.9%, the portfolio was largely resilient. 55% of our holdings did better than the benchmark, by an average of 17 percentage points – contributed about 6.7 points of relative return. The remaining 45% lagged the benchmark by an average of 6 points and took back about 2.0 points; Contributions are weighted by position size. Net-net – we earned about 4.7% alpha during the quarter.

Stock-level contributions are estimated from quarter-end model weights and scaled pro rata to the scheme's reported outperformance of 4.7%

Chart 4: Top contributions and detractors

Top 5 contributors

Stock	Return	Excess vs Nifty 50 TRI	Contrib.
ASK Automotive	+42.5%	+47.4%	+1.1%
MCX	+16.3%	+21.2%	+0.9%
Sona BLW Precision	+33.9%	+38.8%	+0.9%
APL Apollo Tubes	+22.4%	+27.3%	+0.7%
Eternal	+20.9%	+25.8%	+0.6%

Top 5 detractors

Stock	Return	Excess vs Nifty 50 TRI	Contrib.
Polycab India	-19.4%	-14.5%	-0.5%
Fortis Healthcare	-19.5%	-14.6%	-0.4%
Aster DM Healthcare	-11.1%	-6.2%	-0.2%
Cholamandalam Inv.	-9.5%	-4.6%	-0.2%
KEI Industries	-17.9%	-13.0%	-0.2%

The largest contributions came from ASK Automotive, MCX, Sona BLW Precision, APL Apollo Tubes and Eternal, which together account for about 4 of the 4.7 points. Two of the five are auto-component companies, which had strong volumes during the quarter, which led to operating leverage in quarterly results. MCX benefited from volatility in Gold and Crude oil, in addition to positive regulatory announcements. Eternal continues to deliver on margin despite rising competition. Earnings delivery was strong in each of the top contributors.

A word on the detractors: Polycab and KEI fell 18% to 19% in September, when UltraTech's plant in Gujarat began commercial production - about three months ahead of the December 2026 commissioning. Of the two, KEI is less impacted because of its higher exposure to cables, but we would watch for earnings slowdown/margin pressures before we exit these stocks.

Fortis fell due to flat profits as margins contracted due to unexpected ESOP costs, while Aster DM absorbed a large block sale by a private-equity investor - underlying profit grew strongly. Both then fell with the sector on the last day of the quarter, after the Supreme Court questioned the mark-ups private hospitals charge on medicines and asked the government to consider a cap on trade margins. The matter would next be heard on 12 October. Based on our on-ground research, uniform implementation could be complex because margin structures vary materially across therapies and products. Hospitals may also have offsetting levers if the regulation is introduced.

Overall, we continue to remain positive on the strategy given where the valuations are wrt what earnings growth trajectory (in excess of 30%) for the portfolio can be.

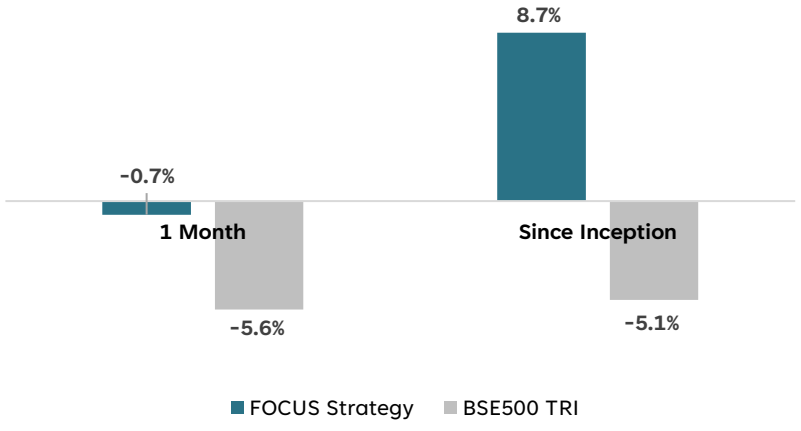
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FOCUS Scheme (Small Cap)

Investment Objective

The primary objective for the FOCUS scheme is wealth creation by investing in small cap companies with durable business models and strong growth characteristics.

Strategy Returns- FOCUS Scheme



The above returns are calculated by using the Time-Weighted Rate of Return (TWRR) method across all portfolios (Absolute returns for less than 1 year). The above returns are as on 30-09-2026, post fees and expenses; Note: Returns of individual clients will differ based on the timing of their investments.

Top Performers

Scrip Name	Purchase Date	Purchase Price (Rs.)	CMP (Rs.) as of 30-09-2026	Return (%)
Shadowfax Tech	24-July-2026	207	280	35%
Action Construction	23-July-2026	979	1,232	26%
Innova Captab	07-Aug-2026	945	1,160	23%
Entero Healthcare	21-Aug-2026	1,423	1,709	20%
Tatva Chintan	04-Aug-2026	1,626	1,784	10%

Holding Companies*

Asset Concentration	Holding
Cash	16.6%
Top 5 Holdings	30.6%
Top 10 Holdings	58.0%
Highest Exposure	HCG (6.3%)
Avg. Market Cap (Rs. Bn)	107

Sector Allocation*

Sectors	Allocation (%)
Healthcare/Pharma	47%
Capital Goods	13%
Consumer	12%
Technology/IT Services	11%
Others	17%

Qualitative Analysis*

Parameters	TTM
PAT Growth	17.2%
PE	46.0x
ROE	11.0%

Represents Model Portfolio

FOCUS Strategy Inception Date: 22nd July, 2026. Data as on 30th Sep, 2026.

Data Source: CPA Internal Research. Returns of individual clients may differ depending on time of entry in the Strategy. Past performance may or may not be sustained in future and should not be used as a basis for comparison with other investments.

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FOCUS Scheme (Small Cap) – Portfolio construction and other details

What FOCUS is

FOCUS is our small-cap scheme, launched on 22 July 2026. Through this scheme, we invest in companies that are smaller and earlier in their growth trajectory than those in GARP portfolio and are in the right sector - runway for growth and improving returns on capital is likely higher. For instance, for the current set of companies, expected earnings growth over the next couple of years is upwards of 40%. We believe that these businesses are often under researched, which is where the opportunity lies, but are also less forgiving if the call goes wrong.

Deployment so far

We have deployed capital in phases since launch, adding to positions as our research on each company was completed and as prices came to us. We expect to be fully invested in the next month or so.

What to expect from a small-cap portfolio

Falls of 30% or more at the category level have happened several times in the past two decades, and individual stocks can fall further without anything being wrong with the business. We manage the volatility through sector choice and thru position sizing: each holding is built to a target weight of about 6% of the portfolio and we size each position by how easily we could exit as well as by conviction.

Current Portfolio Characteristics and results thus far

As of 30 September 2026, FOCUS holds 16 small-cap companies and is about 83% invested, with the rest in cash awaiting deployment. Healthcare is currently the largest allocation at approximately 47%: half of it is in healthcare delivery (a cancer-care hospital chain, an eye-care chain and a pharma distributor) and half in pharma manufacturing (contract development and manufacturing, fermentation-based APIs and pharma intermediates). Industrial and manufacturing businesses make up about a fifth, spread across construction equipment, power transmission equipment, auto components and technical textiles.

11 of the 16 holdings pass our industry check in full i.e. sectors that showed up in our sectoral screeners in March 26. Based on our internal estimates, the portfolio's earnings growth should be in excess of 40% over the next couple of years. Despite such high growth, valuations are still reasonable, with 75% of the companies trading at or below a PEG of 1 (FY28 estimates). Needless to say, there is a lot of legwork done in each of these companies before investing.

Since inception on 22 July 2026, it has returned 8.7% on an absolute basis, against −5.1% for BSE 500 TRI. Resilience mostly is due to deployment in a falling market in September and impact of cash. Initial results look promising but we would continue to put in good work behind the strategy.

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- www.screener.in
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